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ATR or Average True Range is another technical indicator developed by J. Welles Wilder that measures market volatility by calculating the average range of an asset over a specified time period.

ATR 14 RMA

Moving on, the Average True Range is a volatility measure and the multiplier is typically set **between 3-10 periods based on the timeframe**.

Traders take a bullish trade when the price closes above the Supertrend line and the indicator turns **green indicating an emerging uptrend**. Conversely, traders take a bearish trade when the price closes below the Supertrend line and the **indicator turns red indicating an emerging downtrend**. The bands of the indicator automatically adjust to the changing market conditions.

This simplicity of visual swing bands around prices makes the Supertrend a very popular technical indicator for identifying trends, gauging momentum, spotting trend reversals, and timing entries and exits across all market types and trading time frames. The Supertrend indicator remains one of the most widely used technical indicators even today.

Now that you are familiar with the indicator, let us talk about the Supertrend Options Strategy.

